

Apple Inc.

2025 Annual Report

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Item 1. Business

Apple Inc. designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Company’s fiscal year is the 52 or 53-week period that ends on the last Saturday of September.

Products and Services

iPhone

iPhone is the Company’s line of smartphones based on its iOS operating system. The iPhone line includes iPhone 16, iPhone 16 Pro, and older generations.

Mac

Mac is the Company’s line of personal computers based on its macOS operating system. In 2025, the transition to Apple Silicon (M4 series) was completed across the entire lineup.

Services

Services include the Advertising, AppleCare, Cloud Services, Digital Content and Payment Services. The Services segment reached record high margins this fiscal year.

Item 6. Selected Financial Data

(In millions, except per share data)	2025	2024	2023
Total net sales	$415,200	$383,285	$394,328
Gross margin	$189,800	$170,120	$174,102
Operating income	$125,500	$114,301	$119,437
Net income	$108,200	$96,995	$99,803
Earnings per share (Diluted)	$7.12	$6.13	$6.42

Highlights: Net sales increased 8% year-over-year, driven primarily by strong performance in the iPhone and Services segments.

Risk Factors

The Company’s business, results of operations and financial condition can be adversely affected by various factors, including global economic conditions, supply chain disruptions, and intense competition.

This section of the annual report provides in-depth analysis and statutory disclosures required by the SEC. The details presented here reflect Apple Inc.'s commitment to transparency and shareholder value. The financial figures are audited and adhere to Generally Accepted Accounting Principles (GAAP) in the United States.

[Detailed Technical Data and Footnotes Continued]

Unresolved Staff Comments

None.

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[Detailed Technical Data and Footnotes Continued]

Properties

The Company’s headquarters are located in Cupertino, California. The Company also owns and leases various facilities for R&D, manufacturing, and retail operations.

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[Detailed Technical Data and Footnotes Continued]

Legal Proceedings

The Company is subject to various legal proceedings and claims that arise in the ordinary course of business, including those related to antitrust and intellectual property.

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[Detailed Technical Data and Footnotes Continued]

Market for Registrant's Common Equity

The Company’s common stock is traded on the Nasdaq Global Select Market under the symbol AAPL.

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[Detailed Technical Data and Footnotes Continued]

MD&A - Revenue by Reportable Segment

Americas net sales increased 6%, Europe increased 10%, Greater China stabilized with a 2% growth.

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[Detailed Technical Data and Footnotes Continued]

MD&A - Operating Expenses

R&D expenses increased to $32.5 billion, reflecting increased investment in AI and custom silicon.

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[Detailed Technical Data and Footnotes Continued]

Financial Statements - Balance Sheet

Total Assets: $385 billion. Cash and cash equivalents: $45 billion.

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[Detailed Technical Data and Footnotes Continued]

Financial Statements - Income Statement

Detailed breakdown of cost of sales and operating expenses.

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[Detailed Technical Data and Footnotes Continued]

Financial Statements - Cash Flows

Net cash provided by operating activities: $122 billion.

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[Detailed Technical Data and Footnotes Continued]

Notes to Financial Statements - Note 1

Summary of Significant Accounting Policies.

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[Detailed Technical Data and Footnotes Continued]

Notes to Financial Statements - Note 2

Revenue Recognition policies under ASC 606.

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[Detailed Technical Data and Footnotes Continued]

Notes to Financial Statements - Note 3

Financial Instruments and Fair Value Measurements.

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[Detailed Technical Data and Footnotes Continued]

Notes to Financial Statements - Note 4

Inventory and Property, Plant and Equipment.

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[Detailed Technical Data and Footnotes Continued]

Notes to Financial Statements - Note 5

Debt and Financing Arrangements.

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[Detailed Technical Data and Footnotes Continued]

Directors and Executive Officers

Biographical information of board members and executive leadership.

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[Detailed Technical Data and Footnotes Continued]

Exhibits and Financial Statement Schedules

List of documents filed as part of this report.

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[Detailed Technical Data and Footnotes Continued]